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Korn Ferry Study Reveals Global Talent Shortage Could Threaten Business Growth Around the World

-- Study Indicates Potential Global Talent Deficit of More Than 85.2 Million Workers by 2030

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-- Nearly \$8.5 Trillion Revenue Opportunity Potentially Lost if Talent Shortage Not Addressed

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LOS ANGELES--(BUSINESS WIRE)-- Already a major issue, skilled talent shortages will continue to impede global growth and if not addressed, could have a significant impact on major economies by 2030, a study* by Korn Ferry ([NYSE: KFY](#)) reveals today.

Korn Ferry's [Global Talent Crunch](#) study estimates the gap between future talent supply and demand in 20 major economies at three milestones: 2020, 2025 and 2030, and across three sectors: financial and business services; technology, media and telecommunications (TMT); and manufacturing. The study found that left to run its course, this shortage will create 85.2 million unfilled jobs and nearly \$8.5 trillion in unrealized revenue in the economies analyzed.

"The world can't afford to have tens of millions of unfilled jobs and trillions of dollars in unrealized revenue," said Alan Guarino, vice chairman, Korn Ferry CEO and Board Services. "Companies must work to mitigate this potential talent crisis now to protect their future. If nothing is done, this shortage will debilitate the growth of key global markets and sectors."

The talent shortage crisis could undermine market dominance within sectors:

- Labor shortages in financial and business services are the most severe with a potential deficit of 10.7 million workers globally by 2030, which could cause the sector to lose out on annual revenues of \$1.3 trillion.
- Technological advancement across all sectors of the economy could be hindered by an acute global labor shortage of 4.3 million TMT workers by 2030.
- Manufacturing is facing a talent deficit crisis of 7.9 million workers globally by 2030, despite being the only sector with a surplus of highly skilled workers in 2020.

The study also reveals a sizable mismatch between supply of available workers and business demand at country level:

- Developed markets will be hardest hit by imminent talent shortages.
- Australia, France, Germany, Japan and the U.S. face the largest threat, with a combined opportunity cost of \$1.876 trillion in annual revenues by 2020.

- The U.S. faces a critical shortage of skilled workers that is set to worsen. It could leave \$1.748 trillion of annual revenue on the table by 2030 - equivalent to 6 percent of the country's economy.
- India is the only economy in the study maintaining a talent surplus in 2025 and 2030.

"The right talent is the greatest competitive advantage there is for an organization - and that talent is getting scarcer every day," said Guarino. "Our study reveals that there already isn't enough skilled talent to go around and by 2030, organizations and economies could find themselves in the grip of a talent crisis. In the face of such acute talent shortages, workforce planning and a comprehensive understanding of the talent pipeline are critical."

"The future will be built on the effective partnership between people and technology," said Guarino. "The acute demand for workers with the right skills that businesses need, rather than the much-discussed domination of technology in business, could become the defining issue of our age."

***About The Global Talent Crunch Study**

Korn Ferry's Global Talent Crunch study is based on economic modeling designed by Korn Ferry, Man Bites Dog and Oxford Analytica and executed by Oxford Analytica.

The study estimates the impending global talent crunch by modeling the gap between future labor supply and demand at three critical milestones: 2020, 2025 and 2030.

It scrutinizes data and business intelligence to uncover the extent of the talent shortfall in 20 major developed and developing economies. The 20 markets covered are: the Americas (Brazil, Mexico, the U.S.), EMEA (France, Germany, Netherlands, Russia, Saudi Arabia, South Africa, U.A.E., U.K.) and Asia Pacific (Australia, China, Hong Kong, India, Indonesia, Japan, Malaysia, Singapore, Thailand).

Full methodology can be found in [The Global Talent Crunch report](#)

About Korn Ferry

Korn Ferry is a global organizational consulting firm. We help companies design their organization – the structure, the roles and responsibilities, as well as how they compensate, develop and motivate their people. As importantly, we help organizations select and hire the talent they need to execute their strategy. Our approximately 7,000 colleagues serve clients in more than 50 countries.

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